

Q. The government of India is now pushing for more data centres in India. Has that benefited Netmagic in any way?

A. The government is mostly setting up its own data centres. It has not opened up to third parties. We do have a few customers in the government, but the core government data centres (like NIC) are still state-owned or located in a PSU.

Q. Would it be correct to assume that most of your customers are high-end, premium customers, rather than small ones?

A. Yes, we do have more of the larger customers. But we don't really look at it as the number of employees and the revenues that the customer has. There are a lot of small companies that are big on IT and are growing pretty fast. We classify them as 'Ice' and 'Nice' companies -- Internet-centric and non-Internet centric, respectively. The non-Internet centric are typically the mid-size and the large companies, with respect to the revenue and the scale. The Internet-centric companies may be smaller in scale but can be big customers for us.

Q. Has any startup grown with you?

A. Yes, absolutely! Cleartrip has been with us for years. India Infoline has been with us since almost the beginning of 2000. It has grown entirely along with us. Even Flipkart has been our customer for long, though the business has been more with respect to co-location. Myntra has also grown with us. So there are many examples. In fact, we have been very strong even in digital media.

Q. Do you have any special programs for startups?

A. We do offer special packages to startups for a few months, under which they can use our cloud services without any charges. That gives them time to analyse how their business has taken off, and helps them decide how to scale it up further.

Q. There is a lot of talk these days among consultants about the Internet of Things (IoT). What is your personal take on this? Do you anticipate a huge amount of business coming to cloud companies because of IoT?

A. My personal take is that it is a bit early to depend on IoT. The cloud took a few years to become mainstream. IoT will also take another one-and-a-half or two years to do so. For companies like Netmagic, the interesting business will come from the back-end and analytics.

Q. What does open source mean to Netmagic?

A. I think open source is key to our business. We have used the Swift platform for our object storage, and our monitoring set-up is also based on open source technology. We use Nagios, and we have done development on top of it. We started using open source tools for our monitoring

services after experimenting with some of the commercial tools. What we like about open source is that we can tweak it the way we want to. In the case of proprietary tools, we have to wait for the next release.

In our NTT project, OpenStack is a key component, and is being used to build the cloud. We have a big team of engineers that supports CentOS and Ubuntu. We are partners with Red Hat and SUSE now, as well. In fact, we have built a big skill set, which supports Linux and open source, including Apache.

Q. Do you see a revenue stream here? How many customers come seeking an open source stack and how many prefer a proprietary stack?

A. I estimate a 55 per cent share in the demand for commercial stacks, and 45 per cent for open source software. I need to check the exact figures.

Q. So where do you see the growth coming from for Netmagic? You have mentioned that you are seeing growth coming from the telecom sector, shifting of the existing customer base and e-commerce. As I understand, these are the top three areas. Do you see any new sectors emerging?

A. I think telecom will continue to grow for some time, with 4G and video streaming gaining strength. Manufacturing is the next most important sector where we see growth coming. This sector is going through some transformation, where old technology is being replaced with the new. Next, mobile value added services will continue to provide growth. Manufacturing is a broad field, and I consider the pharma industry as a part of it.

Another area of potential growth is new age banks and the payment gateways.

Q. So what is the biggest challenge for your business?

A. The biggest is capacity management. Companies are buying services as and when they need them. As a result, many times we are not able to meet peak demands. An example would be the Diwali sales by e-commerce companies, when there is a peak in the demand for our services but, thereafter, the infra is idle. This is something we need to manage better.

Q. Lastly, what is the top technology trend you would want a typical CIO or CTO to bear in mind when it comes to the cloud, or even migrating to it?

A. This is clearly the software defined network which we used to talk about, but is now becoming a reality. When you get into a particular architecture, you realise there is a problem of scale only when you face it. And then you think you could have easily scaled your business, had the provider used a software defined network! 